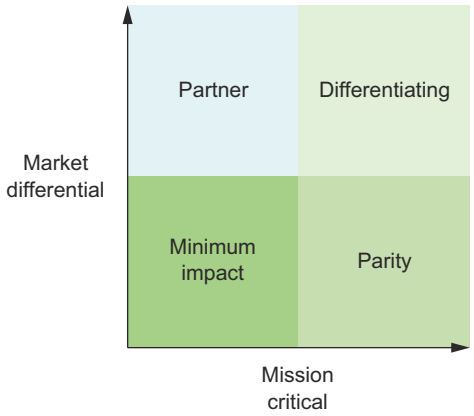


Figure 3.11 The Purpose-Based Alignment Model helps identify where you should focus your efforts when building features.

value. Others, such as online payment with credit cards, might be necessary in a market, but won't distinguish your product from the competition in a meaningful way. Knowing where to invest your time and effort is essential in ensuring that your product not only provides value, but also provides high return on investment.

One convenient way to measure this is to use the Purpose-Based Alignment Model, invented by Niel Nickolaisen.[7] Using the Purpose-Based Alignment Model, you classify features into four quadrants of a diagram, like the one in figure 3.11, using two simple criteria:

- *Mission critical*—How essential is the feature for your ability to operate as a business?
- *Market differentiation*—Is it significantly different from what your competitors propose? Will it make you stand out in the marketplace?

Depending on where a feature is positioned in this diagram, you can decide how best to focus your efforts on those features that will make a difference. A feature will fall into one of four categories:

- Differentiating
- Parity
- Partner
- Minimum impact

3.8.1 Differentiating features

A *differentiating* feature is both mission critical and marks your product apart from the competition. These are the features that provide high return on investment or that win market share, or both. They give your organization a competitive edge. An example might be a risk analysis tool for an investment bank or an innovative new way to reconcile bank account statements in an online accounting package.

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[7] Pollyanna Pixton, Niel Nickolaisen, Todd Little, and Kent McDonald, *Stand Back and Deliver: Accelerating Business Agility* (Addison-Wesley Professional, 2009).